

Salzgitter SZG

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by

JB824

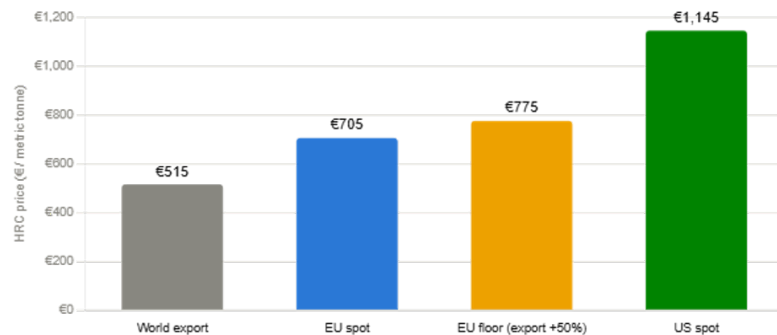
			2026	2027
Price:	52.75	EPS	0	0
Shares Out. (in M):	53	P/E	0	0
Market Cap (in \$M):	3,700	P/FCF	0	0
Net Debt (in \$M):	1,300	EBIT	0	0
TEV (in \$M):	5,000	TEV/EBIT	0	0

Description

This one is short and simple. On July 1st the EU announced a new steel tariff regime that cut the existing import quota by 47% and double the out-of-quota tariff to 50%. I think the set-up here rhymes with the US last summer when it implemented 50% import tariffs on steel. Since then the US steelmakers have seen their stocks roughly double. I think it is likely that the EU steelmakers follow suit, and Salzgitter is my preferred way to play it.

Salzgitter is a ~€3.2bn market cap German integrated steel producer (#2 player in Germany behind Thyssenkrupp) with ~7Mt of capacity. Over 40% of its sales are in Germany with the rest of Europe accounting for another 1/3 of revenue. The majority of its production sits in Germany. About half its revenue is from steel production and processing, while its trading arm is another 30%. The rest is from its Technology segment where it makes specialist machinery for several industries, but mainly packaging. It also owns 30% of the publicly traded copper smelter, Aurubis, which it accounts for under the equity method. The stake today is worth ~€2.3bn (~70% of the market cap) and contributes ~€200-300m in pretax earnings.

When the US announced its tariffs last year, steel stocks did nothing for ~6 months before the HRC price started to move, and then ran up ~40% after. Imports dropped from ~25% of the US market to ~13% over this time. Imports in the EU are currently 27% of the market, and the new regime's intention is to cut that in half, similar to the US. Since the announcement, EU steel prices have only increased a few percent, and there is still a 10% gap between current prices and the "floor" price created by the tariffs (export prices plus the 50% tariff).



Financials/Valuation. Below is a sensitivity analysis for Salzgitter's group EBITDA, holding the trading and packaging businesses steady, and excluding the Aurubis.

Crude util. → shipments	Crude (Mt)	Shipments (Mt)	€600	€650	€700	€750	€800	€850	€900	€950	€1,000	€1,050	€1,100	€1,150
75.0%	5.25	4.62	€217	€425	€633	€840	€1,048	€1,256	€1,464	€1,672	€1,880	€2,088	€2,296	€2,504
80.0%	5.60	4.93	€221	€443	€665	€886	€1,108	€1,330	€1,552	€1,774	€1,995	€2,217	€2,439	€2,661
85.0%	5.95	5.24	€226	€461	€697	€932	€1,168	€1,404	€1,639	€1,875	€2,111	€2,346	€2,582	€2,817
90.0%	6.30	5.54	€230	€480	€729	€979	€1,228	€1,477	€1,727	€1,976	€2,226	€2,475	€2,725	€2,974
95.0%	6.65	5.85	€235	€498	€761	€1,025	€1,288	€1,551	€1,815	€2,078	€2,341	€2,605	€2,868	€3,131

Utilization is % of 7Mt crude capacity; shipments = crude × ~88% yield. ~90% price capture per €1/t (cost-inflation offset), €14/t trough steel margin + €150m non-steel base, input costs held flat. Per +€50/t ≈ shipments × 0.90 × €50.

At the floor price, shares are trading at ~1.8x EV/EBITDA ex-Aurubis. If you want to include the Aurubis stake and Salzgitter's share of the profits, then it is on ~3x EV/EBITDA. In a world where EU prices close the gap with the US, these multiples go to <1.0x and ~1.5x, respectively. US players are on high single digit EV/EBITDA multiples for FY27, so the full valuation gap doesn't need to close for the trade to work.

A fair pushback is probably that the demand environment is very different for the EU steelmakers vs US. There is heavy exposure to autos and construction, both of which have been weak in the EU and Germany in particular. My counter is that this weakness may be ending sooner rather than later given the continued increases in defense spending in the region and Germany's recent €500bn infrastructure bill.

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Catalyst

H2 2026 price realization as spot HRC feeds contracts; further guidance hikes; guidance has already been raised twice this year

Messages

No messages